it is quite possible that by virtue of the protective conditions in the indenture, he may be completely taken care of under conditions which mean virtual extinction for the stockholders. This type of collateral-trust bond may therefore be ranked with equipment-trust obligations as exceptions to our general rule that the bond buyer must place his chief reliance on the success of the enterprise and not on the property specifically pledged.

Going behind the form to the substance, we may point out that this characteristic is essentially true also of investment-trust *debenture* obligations. For it makes little practical difference whether the portfolio is physically pledged with a trustee, as under a collateral-trust indenture, or whether it is held by the corporation subject to the claim of the debenture bondholders. In the usual case the debentures are protected by adequate provisions against increasing the debt, and frequently also by a covenant requiring the market price of the company's assets to be maintained at a stated percentage above the face amount of the bonds.

Example: The Reliance Management Corporation Debenture 5s, due 1954, are an instance of the working of these protective provisions. The enterprise as a whole was highly unsuccessful, as is shown vividly by a decline in the price of the stock from 69 in 1929 to 1 in 1933. In the case of the ordinary bond issue, such a collapse in the stock value would have meant almost certain default and large loss of principal. But here the fact that the assets could be readily turned into cash gave significance to the protective covenants behind the debentures. It made possible and compelled the repurchase by the company of more than three-quarters of the issue, and it even forced the stockholders to contribute additional capital to make good a deficiency of assets below the indenture requirements. This resulted in the bonds selling as high as 88 in 1932 when the stock sold for only 2$^1/_2$. The balance of the issue was called at 104$^1/_4$ in February 1937.

In Chap. 18, devoted to protective covenants, we shall refer to the history of a collateral-trust bond issue of an investment company (Financial Investing Company), and we shall point out that the intrinsic strength of such obligations is often impaired—unnecessarily, in our opinion—by hesitation in asserting the bondholders' rights.

3. Real Estate Bonds. Of much greater importance than either of the two types of securities just discussed is the large field of real estate mortgages and real estate mortgage bonds. The latter represent partici-